

RBI MASTER CIRCULAR

HOUSING FINANCE — LENDING GUIDELINES

(Mock document for educational/project purposes, based on publicly known RBI lending principles)

RBI/2024-25/MC-HOME-LOAN

Issued by: Department of Regulation, Reserve Bank of India

1. PURPOSE AND SCOPE

This circular consolidates guidelines applicable to all Scheduled Commercial Banks and Housing Finance Companies (HFCs) regarding the sanction and disbursement of housing loans to individual borrowers in India.

2. ELIGIBILITY CRITERIA FOR HOME LOANS

2.1 Age Criteria

The applicant must be between 21 and 70 years of age at the time of loan maturity. For salaried individuals, the loan tenure should not extend beyond the applicant's retirement age unless additional co-applicant income is considered.

2.2 Income Criteria

Lenders must verify a minimum stable monthly income of the applicant. For salaried applicants, a minimum of 3 months' salary slips and Form 16 for the last 2 financial years should be obtained. For self-employed applicants, Income Tax Returns (ITR) for the preceding 2-3 years along with audited financial statements must be verified.

2.3 Credit Score (CIBIL) Requirements

Lenders are advised to maintain a minimum CIBIL score threshold for housing loan sanctions:

- CIBIL Score 750 and above: Eligible for best available interest rates
- CIBIL Score 700-749: Eligible for standard interest rates with normal processing
- CIBIL Score 650-699: May be sanctioned with additional scrutiny and higher interest rates
- CIBIL Score below 650: Lenders should exercise caution; additional collateral or guarantor may be required
- CIBIL Score below 600: Generally not recommended for housing loan sanction without strong mitigating factors

3. FIXED OBLIGATION TO INCOME RATIO (FOIR)

3.1 Definition

FOIR represents the percentage of an applicant's monthly income that goes toward repaying all existing and proposed loan obligations (EMIs).

$$\text{FOIR} = (\text{Total Monthly EMI Obligations including proposed loan} / \text{Gross Monthly Income}) \times 100$$

3.2 Recommended FOIR Limits

- For salaried individuals: FOIR should not exceed 50% of gross monthly income
- For self-employed individuals: FOIR should not exceed 55-60% of gross monthly income, given variable income patterns
- Lenders may use higher FOIR limits (up to 65%) for high-income applicants (gross monthly income above Rs. 2,00,000) at their discretion, subject to internal risk policies

4. LOAN-TO-VALUE (LTV) RATIO NORMS

Lenders must adhere to the following LTV ratio caps based on loan amount:

- Loans up to Rs. 30 lakh: Maximum LTV of 90%
- Loans above Rs. 30 lakh and up to Rs. 75 lakh: Maximum LTV of 80%
- Loans above Rs. 75 lakh: Maximum LTV of 75%

5. DOCUMENTATION REQUIREMENTS

All housing loan applications must be supported by:

- Identity proof (PAN Card, Aadhaar Card)
- Address proof
- Income proof (salary slips/ITR as applicable)
- Bank statements for the last 6-12 months
- Property documents including sale deed, encumbrance certificate, and approved building plan
- Processing fee payment receipt

6. INTEREST RATE TRANSPARENCY

Lenders must clearly disclose:

- The applicable interest rate (fixed or floating)
- The method of calculation (reducing balance method is mandatory)
- All applicable charges including processing fees, legal fees, and prepayment charges
- The Annual Percentage Rate (APR) reflecting the true cost of the loan

7. FAIR PRACTICES IN REJECTION

Where a housing loan application is rejected, lenders must:

- Communicate the rejection in writing within a reasonable timeframe
- Provide the primary reason(s) for rejection where feasible
- Not discriminate based on factors unrelated to creditworthiness

8. PREPAYMENT AND FORECLOSURE

Lenders shall not levy foreclosure charges or pre-payment penalties on home loans sanctioned on floating interest rate basis to individual borrowers.

9. GRIEVANCE REDRESSAL

Every lender must have a designated Grievance Redressal Officer for housing loan related complaints, and details must be displayed prominently on the lender's website and loan documents.

END OF CIRCULAR

This is a mock/educational document created for a GenAI capstone project demonstrating RAG-based retrieval over regulatory guidelines. Content reflects generally known RBI lending principles and should not be used for actual lending decisions.